

**SUBSTITUTE FOR
SENATE BILL NO. 723**

A bill to amend 1996 PA 381, entitled
"Brownfield redevelopment financing act,"
by amending sections 2, 8a, 13c, 14a, and 16 (MCL 125.2652,
125.2658a, 125.2663c, 125.2664a, and 125.2666), as amended by 2023
PA 90, and by adding sections 16a, 16b, and 16c.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 2. As used in this act:

2 (a) "Authority" means a brownfield redevelopment authority
3 created under this act.

4 (b) "Baseline environmental assessment" means that term as
5 defined in part 201 or 213.

6 (c) "Blighted" means property that meets any of the following
7 criteria as determined by the governing body:



1 (i) Has been declared a public nuisance in accordance with a
2 local housing, building, plumbing, fire, or other related code or
3 ordinance.

4 (ii) Is an attractive nuisance to children because of physical
5 condition, use, or occupancy.

6 (iii) Is a fire hazard or is otherwise dangerous to the safety
7 of persons or property.

8 (iv) Has had the utilities, plumbing, heating, or sewerage
9 permanently disconnected, destroyed, removed, or rendered
10 ineffective so that the property is unfit for its intended use.

11 (v) Is previously developed or tax reverted property owned by
12 a municipality or by this state. The sale, lease, or transfer of
13 previously developed or tax reverted property by a municipality or
14 this state after the property's inclusion in a brownfield plan does
15 not result in the loss to the property of the status as blighted
16 property for purposes of this act.

17 (vi) Is property owned by or under the control of a land bank
18 fast track authority, whether or not located within a qualified
19 local governmental unit. Property included within a brownfield plan
20 before the date it meets the requirements of this subdivision to be
21 eligible property is considered to become eligible property as of
22 the date the property is determined to have been or becomes
23 qualified as, or is combined with, other eligible property. The
24 sale, lease, or transfer of the property by a land bank fast track
25 authority after the property's inclusion in a brownfield plan does
26 not result in the loss to the property of the status as blighted
27 property for purposes of this act.

28 (vii) Has substantial buried subsurface demolition debris
29 present so that the property is unfit for its intended use.



1 (d) "Board" means the board that supervises and controls an
2 authority under section 5.

3 (e) "Brownfield plan" means a plan that meets the requirements
4 of sections 13 and 13b and is adopted under section 14.

5 (f) "Captured taxable value" means the amount in 1 year by
6 which the current taxable value of an eligible property subject to
7 a brownfield plan, including the taxable value or assessed value,
8 as appropriate, of the property for which specific taxes are paid
9 in lieu of property taxes, exceeds the initial taxable value of
10 that eligible property. The state tax commission shall prescribe
11 the method for calculating captured taxable value.

12 (g) "Chief executive officer" means the mayor of a city, the
13 village manager of a village, the township supervisor of a
14 township, or the county executive of a county or, if the county
15 does not have an elected county executive, the chairperson of the
16 county board of commissioners.

17 (h) "Combined brownfield plan" means a brownfield plan that
18 also includes the information necessary to submit the plan to the
19 department, Michigan state housing development authority, or
20 Michigan strategic fund under section 15(20).

21 (i) "Construction period tax capture revenues" means funds
22 equal to the amount of income tax levied and imposed in a calendar
23 year on wages paid to individuals physically present and working
24 within the eligible property for the construction, renovation, or
25 other improvement of eligible property that is an eligible activity
26 within a transformational brownfield plan. As used in this
27 subdivision, "wages" means that term as defined in section 3401 of
28 the internal revenue code of 1986, 26 USC 3401. To calculate the
29 amount of construction period tax capture revenues for a calendar



1 year under a transformational brownfield plan, the state treasurer
2 shall do all of the following:

3 (i) Require the owner or developer of the eligible property to
4 report the total taxable wages paid to individuals for the
5 construction, renovation, or other improvement of eligible property
6 that is an eligible activity within the transformational brownfield
7 plan. The wages reported under this subparagraph must exclude any
8 wages paid to employees of the owner or developer.

9 (ii) Multiply the amount under subparagraph (i) by the effective
10 rate as determined by the state treasurer at which the income tax
11 is levied on an individual in this state. The state treasurer shall
12 estimate the effective rate by taking into account the effect of
13 any exemptions, additions, subtractions, and credits allowable
14 under part 1 of the income tax act of 1967, 1967 PA 281, MCL 206.1
15 to 206.532. The state treasurer may require the owner or developer
16 to submit any information necessary for the calculation under this
17 subparagraph.

18 (iii) The wage information and other information required under
19 this subdivision must be provided to the department of treasury by
20 the owner or developer in a manner prescribed by the state
21 treasurer. The state treasurer may require the owner or developer
22 to provide a review or reconciliation of the wages by an
23 independent auditing firm.

24 (j) "Corrective action" means that term as defined in part 111
25 or part 213.

26 (k) "Department" means the department of environment, Great
27 Lakes, and energy.

28 (l) "Department specific activities" means baseline
29 environmental assessments, due care activities, response



1 activities, and other environmentally related actions that are
2 eligible activities and are identified as a part of a brownfield
3 plan that are in addition to the minimum due care activities
4 required by part 201, including, but not limited to:

5 (i) Response activities that are more protective of the public
6 health, safety, and welfare and the environment than required by
7 section 20107a, 20114, or 21304c of the natural resources and
8 environmental protection act, 1994 PA 451, MCL 324.20107a,
9 324.20114, and 324.21304c.

10 (ii) Removal and closure of underground storage tanks pursuant
11 to part 211 or 213.

12 (iii) Disposal of solid waste, as defined in part 115 of the
13 natural resources and environmental protection act, 1994 PA 451,
14 MCL 324.11501 to 324.11587, from the eligible property, if the
15 solid waste was not generated or accumulated by the authority or
16 the developer.

17 (iv) Dust control related to construction activities.

18 (v) Removal and disposal of lake or river sediments exceeding
19 part 201 criteria from, at, or related to an economic development
20 project if the upland property is either a facility or would become
21 a facility as a result of the deposition of dredged spoils.

22 (vi) Industrial cleaning.

23 (vii) Sheet piling and shoring necessary for the removal of
24 materials exceeding part 201 criteria at projects requiring a
25 permit pursuant to part 301, 303, or 325 of the natural resources
26 and environmental protection act, 1994 PA 451, MCL 324.30101 to
27 324.30113, 324.30301 to 324.30328, and 324.32501 to 324.32515a.

28 (viii) Lead, mold, or asbestos abatement when lead, mold, or
29 asbestos pose an imminent and significant threat to human health.



1 (ix) Environmental insurance.

2 (m) "Due care activities" means those response activities
3 identified as part of a brownfield plan that are necessary to allow
4 the owner or operator of an eligible property in the plan to comply
5 with the requirements of section 20107a or 21304c of the natural
6 resources and environmental protection act, 1994 PA 451, MCL
7 324.20107a and 324.21304c.

8 (n) "Economic opportunity zone" means 1 or more parcels of
9 property that meet all of the following:

10 (i) That together are 40 or more acres in size.

11 (ii) That contain or contained a manufacturing operation or an
12 enclosed mall that consists or consisted of 300,000 or more square
13 feet.

14 (iii) That are located in a municipality that is contiguous to a
15 qualified local governmental unit.

16 (o) "Eligible activities" or "eligible activity" means 1 or
17 more of the following:

18 (i) For all eligible properties, eligible activities include
19 all of the following:

20 (A) Department specific activities.

21 (B) Relocation of public buildings or operations for economic
22 development purposes.

23 (C) Reasonable costs of environmental insurance.

24 (D) Reasonable costs incurred to develop and prepare
25 brownfield plans, combined brownfield plans, or work plans for the
26 eligible property, including legal and consulting fees that are not
27 in the ordinary course of acquiring and developing real estate.

28 (E) Reasonable costs of brownfield plan and work plan
29 implementation, including, but not limited to, tracking and



1 reporting of data and plan compliance, including costs to
2 implement, monitor, and maintain compliance with the income and
3 price monitoring responsibilities associated with housing
4 development activities, and the reasonable costs incurred to
5 estimate and determine actual costs incurred, whether those costs
6 are incurred by a municipality, authority, or private developer.

7 (F) Demolition of structures or site improvements that are not
8 a response activity, including removal of manufactured debris
9 composed of discarded, unused, or unusable manufactured by-products
10 left on the site by a previous owner. The removal of the
11 manufactured by-products left on the site described in this sub-
12 subparagraph is not eligible for interest reimbursement under sub-
13 subparagraph (H).

14 (G) Lead, asbestos, or mold abatement.

15 (H) Except as otherwise provided in sub-subparagraph (F), the
16 repayment of principal of and interest on any obligation issued by
17 an authority to pay the costs of eligible activities attributable
18 to an eligible property.

19 (ii) For housing property located in a community that has
20 identified a specific housing need and has absorption data or job
21 growth data included in the brownfield plan, eligible activities
22 include all of the following:

23 (A) The activities described in subparagraph (i).

24 (B) Housing development activities.

25 (C) Infrastructure improvements that are necessary for housing
26 property and support housing development activities.

27 (D) Site preparation that is not a response activity and that
28 supports housing development activities.

29 (iii) For eligible properties located in a qualified local



1 governmental unit, or an economic opportunity zone, or that are a
2 former mill, eligible activities include all of the following:

3 (A) The activities described in subparagraph (i).

4 (B) Infrastructure improvements that directly benefit eligible
5 property.

6 (C) Site preparation that is not a response activity.

7 (iv) For eligible properties that are owned by or under the
8 control of a land bank fast track authority, or a municipality or
9 authority, eligible activities include all of the following:

10 (A) The eligible activities described in subparagraphs (i),
11 (ii), and (iii).

12 (B) Assistance to a land bank fast track authority in clearing
13 or quieting title to, or selling or otherwise conveying, property
14 owned by or under the control of a land bank fast track authority
15 or the acquisition of property by the land bank fast track
16 authority if the acquisition of the property is for economic
17 development purposes.

18 (C) Assistance to a municipality or authority in clearing or
19 quieting title to, or selling or otherwise conveying, property
20 owned by or under the control of a municipality or authority or the
21 acquisition of property by a qualified local governmental unit or
22 authority if the acquisition of the property is for economic
23 development purposes.

24 (v) For eligible activities on eligible property that is
25 included in a transformational brownfield plan, any demolition,
26 construction, restoration, alteration, renovation, or improvement
27 of buildings or site improvements on eligible property, including
28 infrastructure improvements that directly benefit eligible
29 property.



(vi) For eligible activities on eligible property that is a qualified facility that is not located in a qualified local governmental unit and that is a facility, functionally obsolete, or blighted, the following additional activities:

(A) The activities described in subparagraph (i).

(B) Infrastructure improvements that directly benefit eligible property.

(C) Site preparation that is not a response activity.

(p) "Eligible property" means either of the following:

(i) Except as otherwise provided in sub-subparagraph (G), property for which eligible activities are identified under a brownfield plan that was used or is currently used for commercial, industrial, public, or residential purposes, including personal property located on the property, or former dumps, landfills, and other areas filled with nonnative material, to the extent included in the brownfield plan, and that meets 1 or more of the following conditions listed in sub-subparagraphs (A) to (F):

(A) Is in a qualified local governmental unit and is a facility or a site or property as those terms are defined in part 213, historic resource, functionally obsolete, or blighted and includes parcels that are adjacent or contiguous to that property if the development of the adjacent and contiguous parcels is estimated to increase the captured taxable value of that property.

(B) Is not in a qualified local governmental unit and is a facility, historic resource, functionally obsolete, blighted, or a site or property as those terms are defined in part 213, and includes parcels that are adjacent or contiguous to that property if the development of the adjacent and contiguous parcels is estimated to increase the captured taxable value of that property.



1 (C) Is tax reverted property owned by or under the control of
2 a land bank fast track authority.

3 (D) Is a transit-oriented development or transit-oriented
4 property.

5 (E) Is located in a qualified local governmental unit and
6 contains a targeted redevelopment area.

7 (F) Is undeveloped property that was eligible property in a
8 previously approved brownfield plan abolished under section 14(8).

9 (G) Eligible property does not include qualified agricultural
10 property exempt under section 7ee of the general property tax act,
11 1893 PA 206, MCL 211.7ee, from the tax levied by a local school
12 district for school operating purposes to the extent provided under
13 section 1211 of the revised school code, 1976 PA 451, MCL 380.1211.

14 (ii) Housing property for which eligible activities are
15 identified under a brownfield plan **implemented under section 13**
16 **only**, including personal property located on the property, to the
17 extent included in the brownfield plan. **Eligible property does not**
18 **include housing property for which eligible activities are**
19 **identified under a transformational brownfield plan implemented**
20 **under section 13c.**

21 (q) "Environmental insurance" means liability insurance for
22 environmental contamination and cleanup that is not otherwise
23 required by state or federal law.

24 (r) "Facility" means that term as defined in part 201.

25 (s) "Fiscal year" means the fiscal year of the authority.

26 (t) "Former mill" means a former mill that has not been used
27 for industrial purposes for the immediately preceding 2 years, that
28 is not located in a qualified local governmental unit, that is a
29 facility or is a site or a property as those terms are defined in



1 part 213, functionally obsolete, or blighted, and that is located
2 within 15 miles of a river that is a federal superfund site listed
3 under the comprehensive environmental response, compensation and
4 liability act of 1980, 42 USC 9601 to 9675, and that is located in
5 a municipality with a population of less than 10,000.

6 (u) "Functionally obsolete" means that the property is unable
7 to be used to adequately perform the function for which it was
8 intended due to a substantial loss in value resulting from factors
9 such as overcapacity, changes in technology, deficiencies or
10 superadequacies in design, or other similar factors that affect the
11 property itself or the property's relationship with other
12 surrounding property.

13 (v) "Governing body" means the elected body having legislative
14 powers of a municipality creating an authority under this act.

15 (w) "Historic resource" means that term as defined in section
16 90a of the Michigan strategic fund act, 1984 PA 270, MCL 125.2090a.

17 (x) "Housing development activities" means 1 or more of the
18 following:

19 (i) Reimbursement provided to owners of rental housing units
20 for qualified rehabilitation.

21 (ii) Costs for infrastructure available for public use and
22 safety improvements necessary for a housing project.

23 (iii) Costs of demolition and renovation of existing buildings
24 and site preparation, to the extent necessary to accommodate an
25 income qualified purchaser household or income qualified renting
26 household.

27 (iv) Temporary household relocation costs for an income
28 qualified household for a period not to exceed 1 year.

29 (v) Acquisition cost for blighted or obsolete rental units, to



1 the extent the acquisition would promote rehabilitation or adaptive
2 reuse of the blighted or obsolete rental unit to accommodate an
3 income qualified purchaser household or income qualified renting
4 household.

5 (vi) Reimbursement provided to a developer to fill a financing
6 gap associated with the development of housing units priced for
7 income qualified households and to assist with costs related to
8 infrastructure improvements and site preparation that are not a
9 response activity and that are necessary for new housing
10 development for income qualified households on eligible property.

11 (y) "Housing property" means 1 or more of the following:

12 (i) A property on which 1 or more units of residential housing
13 are proposed to be constructed, rehabilitated, or otherwise
14 designed to be used as a dwelling.

15 (ii) One or more units of residential housing proposed to be
16 constructed or rehabilitated and located in a mixed-use project.

17 (z) "Income qualified household" means a person, a family, or
18 unrelated persons living together, whose annual household income is
19 not more than 120% of the area median income. As used in this
20 subdivision:

21 (i) "Area median income" means the median income for the area
22 as determined under section 8 of the United States housing act of
23 1937, 42 USC 1437f, adjusted for family size.

24 (ii) "Household income" means all income received by all
25 individuals who are not less than 24 years of age when the
26 household income is determined and who reside in a household while
27 members of the household.

28 (aa) "Income qualified purchaser household" means a purchaser
29 who is, or who is a member of, an income qualified household.



1 (bb) "Income qualified renting household" means a renter who
2 is, or who is a member of, an income qualified household.

3 (cc) "Income tax" means the tax levied and imposed under part
4 1 of the income tax act of 1967, 1967 PA 281, MCL 206.1 to 206.532.

5 (dd) "Income tax capture revenues" means, with respect to each
6 eligible property subject to a transformational brownfield plan,
7 funds equal to the amount for each tax year by which the aggregate
8 income tax from individuals residing within the eligible property
9 subject to a transformational brownfield plan exceeds the initial
10 income tax value. Subject to subparagraph (iii), the state treasurer
11 shall calculate annually the income tax capture revenues associated
12 with each transformational brownfield plan. In calculating income
13 tax capture revenues, the state treasurer shall subtract from the
14 aggregate amount of income tax credits under sections 255, 265,
15 266, and chapter 9 of the income tax act of 1967, 1967 PA 281, MCL
16 206.255, 206.265, 206.266, and 206.501 to 206.532. The state
17 treasurer shall require the owner or developer of the eligible
18 property to provide to the department of treasury all of the
19 following information at the end of each calendar year, including
20 the year in which the resolution adding that eligible property in
21 the transformational brownfield plan is adopted:

22 (i) A list of addresses for all residential units, rental or
23 owner-occupied, within the eligible property.

24 (ii) Any other information that may be necessary to calculate
25 the income tax capture revenues. The information required under
26 this subdivision must be provided in a manner prescribed by the
27 state treasurer.

28 (iii) Notwithstanding anything to the contrary in this
29 subdivision, instead of the reporting and calculation methods



1 otherwise provided for, the owner or developer of a
2 transformational brownfield project site may elect to utilize a
3 safe harbor method of calculating income tax capture revenues.
4 Under this safe harbor method, the Michigan strategic fund shall
5 establish a safe harbor amount of annual income tax capture
6 revenues for each eligible property when the Michigan strategic
7 fund approves the transformational brownfield plan, and those
8 amounts shall serve as the basis for the transmittal of income tax
9 capture revenues to the owner or developer of the transformational
10 project site under section 8a(4). The Michigan strategic fund shall
11 establish the safe harbor amount for an eligible property by
12 imputing a standard annual taxable income for households residing
13 within the eligible property or portion of the eligible property.
14 The safe harbor is effective only to the extent that the
15 residential units within the eligible property or portion of the
16 eligible property are actively leased or, in the case of units made
17 available for sale, sold in an arms-length transaction. Imputations
18 as to standard household taxable income may vary based on location
19 and other relevant factors. The Michigan strategic fund may adjust
20 the safe harbor amount for an eligible property, or portion of the
21 eligible property, after the time of transformational brownfield
22 plan approval as required to reflect changes in the
23 transformational brownfield plan for the transformational project
24 site that may occur after approval of the transformational
25 brownfield plan, if those changes do not result in an aggregate
26 increase in the level of income tax capture revenues from the
27 amount initially established. ~~The~~ **Except as otherwise provided in**
28 **this subparagraph, the** owner or developer of the transformational
29 project site may elect to utilize the safe harbor method of



1 accounting at any time before the first reimbursement of income tax
2 capture revenues under the transformational brownfield plan. **For**
3 **any new project approved by the Michigan strategic fund board after**
4 **December 31, 2025, the owner or developer of the transformational**
5 **project site must elect to utilize the safe harbor method of**
6 **accounting before approval of the project by the Michigan strategic**
7 **fund board.** An election to utilize the safe harbor method of
8 accounting, once made, cannot be rescinded **without approval by the**
9 **Michigan strategic fund.** As used in this subdivision, "Michigan
10 **strategic fund board**" means the board of directors of the Michigan
11 **strategic fund under section 5 of the Michigan strategic fund act,**
12 **1984 PA 270, MCL 125.2005.**

13 (ee) "Industrial cleaning" means cleaning or removal of
14 contaminants from within a structure necessary to achieve the
15 intended use of the property.

16 (ff) "Infrastructure improvements" means a street, road,
17 sidewalk, parking facility, pedestrian mall, alley, bridge, sewer,
18 sewage treatment plant, property designed to reduce, eliminate, or
19 prevent the spread of identified soil or groundwater contamination,
20 drainage system, waterway, waterline, water storage facility, rail
21 line, utility line or pipeline, transit-oriented development,
22 transit-oriented property, or other similar or related structure or
23 improvement, together with necessary easements for the structure or
24 improvement, owned or used by a public agency or functionally
25 connected to similar or supporting property owned or used by a
26 public agency, or designed and dedicated to use by, for the benefit
27 of, or for the protection of the health, welfare, or safety of the
28 public generally, whether or not used by a single business entity,
29 if any road, street, or bridge is continuously open to public



access and other property is located in public easements or rights-of-way and sized to accommodate reasonably foreseeable development of eligible property in adjoining areas. Infrastructure improvements also include 1 or more of the following whether publicly or privately owned or operated or located on public or private property:

(i) Underground parking.

(ii) Multilevel parking structures.

(iii) Urban stormwater management systems.

(gg) "Initial income tax value" means, with respect to each eligible property subject to a transformational brownfield plan, the aggregate amount of income tax less credits under sections 255, 265, 266, and chapter 9 of the income tax act of 1967, 1967 PA 281, MCL 206.255, 206.265, 206.266, and 206.501 to 206.532, from individuals residing within the eligible property for the ~~tax-base~~ year **specified** in ~~which the resolution adding that~~ **that adds the** eligible property in the transformational brownfield plan. ~~is adopted.~~

(hh) "Initial sales and use tax value" means, with respect to each eligible property subject to a transformational brownfield plan, the aggregate amount of sales tax and use tax collected from persons located within the eligible property for the ~~tax-base~~ year **specified** in ~~which the resolution adding that~~ **that adds the** eligible property in the transformational brownfield plan. ~~is adopted.~~ For persons with multiple business locations, the applicable amount of sales tax and use tax for purposes of this act is only the sales tax and use tax collections attributable to the business location within the eligible property.

(ii) "Initial taxable value" means the taxable value of an



1 eligible property identified in and subject to a brownfield plan at
 2 the time the resolution adding that eligible property in the
 3 brownfield plan is adopted, as shown either by the most recent
 4 assessment roll for which equalization has been completed at the
 5 time the resolution is adopted or, if provided by the brownfield
 6 plan, by the next assessment roll for which equalization will be
 7 completed following the date the resolution adding that eligible
 8 property in the brownfield plan is adopted. Property exempt from
 9 taxation at the time the initial taxable value is determined is
 10 included with the initial taxable value of zero. Property for which
 11 a specific tax is paid in lieu of property tax is not considered
 12 exempt from taxation. The state tax commission shall prescribe the
 13 method for calculating the initial taxable value of property for
 14 which a specific tax was paid in lieu of property tax. The initial
 15 assessed value may be modified by lowering the initial assessed
 16 value once during the term of the brownfield plan through an
 17 amendment as provided in section 14 after the tax increment
 18 financing plan fails to generate captured taxes for 3 consecutive
 19 years due to declines in assessed value.

20 (jj) "Initial withholding tax value" means, with respect to
 21 each eligible property subject to a transformational brownfield
 22 plan, the amount of income tax withheld under chapter 17 of the
 23 income tax act of 1967, 1967 PA 281, MCL 206.701 to ~~206.715,~~
 24 **206.718**, from individuals employed within the eligible property for
 25 the ~~calendar-base~~ year **specified** in ~~which the resolution adding the~~
 26 **that adds the** eligible property to the plan. ~~is adopted. The~~
 27 initial withholding tax value does not include construction period
 28 tax capture revenues.

29 (kk) "Land bank fast track authority" means an authority



1 created under the land bank fast track act, 2003 PA 258, MCL
2 124.751 to 124.774.

3 (ll) "Local taxes" means all taxes levied other than taxes
4 levied for school operating purposes.

5 (mm) "Michigan state housing development authority" means the
6 Michigan state housing development authority created in section 21
7 of the state housing development authority act of 1966, 1966 PA
8 346, MCL 125.1421.

9 (nn) "Michigan strategic fund" means the Michigan strategic
10 fund created under the Michigan strategic fund act, 1984 PA 270,
11 MCL 125.2001 to 125.2094.

12 (oo) "Mixed-use" means a real estate project with planned
13 integration of some combination of retail, office, residential, or
14 hotel uses.

15 (pp) "Municipality" means all of the following:

16 (i) A city.

17 (ii) A village.

18 (iii) A township in those areas of the township that are outside
19 of a village.

20 (iv) A township in those areas of the township that are in a
21 village on the concurrence by resolution of the village in which
22 the zone would be located.

23 (v) A county.

24 (qq) "Owned by or under the control of" means that a land bank
25 fast track authority, a municipality, or a qualified local
26 governmental unit has 1 or more of the following:

27 (i) An ownership interest in the property.

28 (ii) A tax lien on the property.

29 (iii) A tax deed to the property.



1 (iv) A contract with this state or a political subdivision of
2 this state to enforce a lien on the property.

3 (v) A right to collect delinquent taxes, penalties, or
4 interest on the property.

5 (vi) The ability to exercise its authority over the property.

6 (rr) "Part 111", "part 201", "part 211", or "part 213" means
7 that part as described as follows:

8 (i) Part 111 of the natural resources and environmental
9 protection act, 1994 PA 451, MCL 324.11101 to 324.11153.

10 (ii) Part 201 of the natural resources and environmental
11 protection act, 1994 PA 451, MCL 324.20101 to 324.20142.

12 (iii) Part 211 of the natural resources and environmental
13 protection act, 1994 PA 451, MCL 324.21101 to 324.21113.

14 (iv) Part 213 of the natural resources and environmental
15 protection act, 1994 PA 451, MCL 324.21301a to 324.21334.

16 (ss) "Previously developed property" means property that was
17 part of an existing developed residential, commercial, or
18 industrial zone and contained a structure serviced by utilities, or
19 former dumps, landfills, and other areas filled with nonnative
20 material.

21 (tt) "Qualified facility" means a landfill facility area of 15
22 or more contiguous acres that is located in a city and that
23 contains, contained, or is adjacent to a landfill, a material
24 recycling facility, or an asphalt plant that is no longer in
25 operation.

26 (uu) "Qualified local governmental unit" means that term as
27 defined in the obsolete property rehabilitation act, 2000 PA 146,
28 MCL 125.2781 to 125.2797.

29 (vv) "Qualified rehabilitation" means rehabilitation of



1 existing structures that is necessary to make a housing unit
2 suitable for sale to an income qualified purchaser household or
3 rent to an income qualified renting household. Qualified
4 rehabilitation also includes proposed rehabilitation that will
5 bring the structure into conformance with minimum local building
6 code standards for occupancy or improve the livability of the units
7 while meeting minimum local building code standards. As used in
8 this subsection, "existing structures" includes any structure
9 designed to be used as a dwelling.

10 (ww) "Qualified taxpayer" means that term as defined in
11 sections 38d and 38g of former 1975 PA 228, or section 437 of the
12 Michigan business tax act, 2007 PA 36, MCL 208.1437, or a recipient
13 of a community revitalization incentive as described in section 90a
14 of the Michigan strategic fund act, 1984 PA 270, MCL 125.2090a.

15 (xx) "Release" means that term as defined in part 201 or part
16 213.

17 (yy) "Response activity" means either of the following:

18 (i) Response activity as that term is defined in part 201.

19 (ii) Corrective action.

20 (zz) "Sales tax" means the tax levied under the general sales
21 tax act, 1933 PA 167, MCL 205.51 to 205.78.

22 (aaa) "Sales and use tax capture revenues" means, with respect
23 to each eligible property subject to a transformational brownfield
24 plan, the amount for each calendar year by which the sales tax and
25 use tax collected from persons within the eligible property exceeds
26 the initial sales and use tax value. For persons with multiple
27 business locations, the applicable amount of sales tax and use tax
28 for purposes of this act is only the sales tax and use tax
29 collections attributable to the business location within the



1 eligible property. To calculate sales and use tax capture revenues
2 for a calendar year under a transformational brownfield plan, the
3 state treasurer or the Michigan strategic fund shall do all of the
4 following:

5 (i) The state treasurer shall develop methods and processes
6 that are necessary for each applicable person within the eligible
7 property to report the amount of sales and use tax from that
8 location.

9 (ii) The Michigan strategic fund shall include all of the
10 following provisions in the development or reimbursement agreement
11 for any transformational brownfield plan that utilizes sales and
12 use tax capture revenues:

13 (A) That the owner or developer of the eligible property shall
14 require each applicable person occupying the eligible property to
15 comply with the reporting requirements under this section through a
16 contract requirement, lease requirement, or other similar means.

17 (B) That reimbursement of sales and use tax capture revenues
18 is limited to amounts that are reported in accordance with this
19 section, and this state has no obligation with respect to sales and
20 use tax capture revenues that are not reported or paid.

21 (bbb) "Specific taxes" means all of the following:

22 (i) A tax levied under any of the following:

23 (A) 1974 PA 198, MCL 207.551 to 207.572.

24 (B) The commercial redevelopment act, 1978 PA 255, MCL 207.651
25 to 207.668.

26 (C) The enterprise zone act, 1985 PA 224, MCL 125.2101 to
27 125.2123.

28 (D) 1953 PA 189, MCL 211.181 to 211.182.

29 (E) The technology park development act, 1984 PA 385, MCL



1 207.701 to 207.718.

2 (F) The obsolete property rehabilitation act, 2000 PA 146, MCL
3 125.2781 to 125.2797.

4 (G) The neighborhood enterprise zone act, 1992 PA 147, MCL
5 207.771 to 207.786.

6 (H) The commercial rehabilitation act, 2005 PA 210, MCL
7 207.841 to 207.856.

8 (I) The attainable housing facilities act, 2022 PA 236, MCL
9 207.901 to 207.916.

10 (J) The residential housing facilities act, 2022 PA 237, MCL
11 207.951 to 207.966.

12 (ii) That portion of the tax levied under the tax reverted
13 clean title act, 2003 PA 260, MCL 211.1021 to 211.1025a, that is
14 not required to be distributed to a land bank fast track authority.

15 (ccc) "State brownfield redevelopment fund" means the state
16 brownfield redevelopment fund created in section 8a.

17 (ddd) "Targeted redevelopment area" means not fewer than 40
18 and not more than 500 contiguous parcels of real property located
19 in a qualified local governmental unit and designated as a targeted
20 redevelopment area by resolution of the governing body and approved
21 by the Michigan strategic fund. A qualified local governmental unit
22 is limited to designating no more than 2 targeted redevelopment
23 areas for the purposes of this section in a calendar year. The
24 Michigan strategic fund may approve no more than 5 targeted
25 redevelopment areas for the purposes of this section in a calendar
26 year.

27 (eee) "Tax increment revenues" means the amount of ad valorem
28 property taxes and specific taxes attributable to the application
29 of the levy of all taxing jurisdictions on the captured taxable



1 value of each parcel of eligible property subject to a brownfield
2 plan and personal property located on that property, regardless of
3 whether those taxes began to be levied after the brownfield plan
4 was adopted. Tax increment revenues also include the amount of any
5 payment in lieu of taxes under section 15a(3) of the state housing
6 development authority act of 1966, 1966 PA 346, MCL 125.1415a, paid
7 on an eligible property subject to a brownfield plan, less the
8 amount of property taxes levied on the eligible property subject to
9 the brownfield plan for the year the eligible property became
10 subject to the brownfield plan. Tax increment revenues do not
11 include any of the following:

12 (i) Ad valorem property taxes specifically levied for the
13 payment of principal of and interest on either obligations approved
14 by the electors or obligations pledging the unlimited taxing power
15 of the local governmental unit, and specific taxes attributable to
16 those ad valorem property taxes.

17 (ii) For tax increment revenues attributable to eligible
18 property, the amount of ad valorem property taxes or specific taxes
19 captured by a downtown development authority under part 2 of the
20 recodified tax increment financing act, 2018 PA 57, MCL 125.4201 to
21 125.4230, tax increment finance authority under part 3 of the
22 recodified tax increment financing act, 2018 PA 57, MCL 125.4301 to
23 125.4329, corridor improvement authority under part 6 of the
24 recodified tax increment financing act, 2018 PA 57, MCL 125.4602 to
25 125.4629, or local development finance authority under part 4 of
26 the recodified tax increment financing act, 2018 PA 57, MCL
27 125.4401 to 125.4420, if those taxes were captured by these other
28 authorities on the date that eligible property became subject to a
29 brownfield plan under this act, unless these other authorities



1 agree to forgo or transfer their taxes in support of the brownfield
2 plan.

3 (iii) Ad valorem property taxes levied under 1 or more of the
4 following or specific taxes attributable to those ad valorem
5 property taxes:

6 (A) The zoological authorities act, 2008 PA 49, MCL 123.1161
7 to 123.1183.

8 (B) The art institute authorities act, 2010 PA 296, MCL
9 123.1201 to 123.1229.

10 (fff) "Taxable value" means the value determined under section
11 27a of the general property tax act, 1893 PA 206, MCL 211.27a.

12 (ggg) "Taxes levied for school operating purposes" means all
13 of the following:

14 (i) The taxes levied by a local school district for operating
15 purposes.

16 (ii) The taxes levied under the state education tax act, 1993
17 PA 331, MCL 211.901 to 211.906.

18 (iii) That portion of specific taxes attributable to taxes
19 described under subparagraphs (i) and (ii).

20 (hhh) "Transformational brownfield plan" means a brownfield
21 plan that meets the requirements of section 13c and is adopted
22 under section 14a and, as designated by resolution of the governing
23 body and approved by the Michigan strategic fund, will have a
24 transformational impact on local economic development and community
25 revitalization based on the extent of brownfield redevelopment and
26 growth in population, commercial activity, and employment that will
27 result from the plan. To be designated a transformational
28 brownfield plan, a transformational brownfield plan under this
29 subdivision must be for mixed-use development unless waived by the



1 Michigan strategic fund as provided under section 14a(26) and must
2 be expected to result in the following levels of capital
3 investment:

4 (i) In a municipality that is not a county and that has a
5 population of not less than 600,000, \$500,000,000.00.

6 (ii) In a municipality that is not a county and that has a
7 population of not less than 150,000 and not more than 599,999,
8 \$100,000,000.00.

9 (iii) In a municipality that is not a county and that has a
10 population of not less than 100,000 and not more than 149,999,
11 \$75,000,000.00.

12 (iv) In a municipality that is not a county and that has a
13 population of not less than 50,000 and not more than 99,999,
14 \$50,000,000.00.

15 (v) In a municipality that is not a county and that has a
16 population of not less than 25,000 and not more than 49,999,
17 \$25,000,000.00.

18 (vi) In a municipality that is not a county and that has a
19 population of less than 25,000, \$15,000,000.00.

20 (iii) "Transit-oriented development" means infrastructure
21 improvements that are located within 1/2 mile of a transit station
22 or transit-oriented property that promotes transit ridership or
23 passenger rail use as determined by the board and approved by the
24 municipality in which it is located.

25 (jjj) "Transit-oriented property" means property that houses a
26 transit station in a manner that promotes transit ridership or
27 passenger rail use.

28 (kkk) "Use tax" means the tax levied under the use tax act,
29 1937 PA 94, MCL 205.91 to 205.111, including both the local



community stabilization share and the state share as those terms are defined in section 2c of the use tax act, 1937 PA 94, MCL 205.92c.

(III) "Withholding tax capture revenues" means, with respect to each eligible property subject to a transformational brownfield plan, the amount for each calendar year by which the income tax withheld under chapter 17 of the income tax act of 1967, 1967 PA 281, MCL 206.701 to ~~206.715~~, **206.718**, from individuals employed within the eligible property exceeds the initial withholding tax value. Withholding tax capture revenues do not include income tax from individuals domiciled within the eligible property or construction period tax capture revenues. **For transformational brownfield plans approved after the effective date of the amendatory act that added section 16a, withholding tax capture revenues do not include income tax withholdings attributable to employees of an employer that has relocated from another location in this state to within the eligible property or to employees in positions that have been cut and rehired.** To calculate withholding tax capture revenues for a calendar year under a transformational brownfield plan, the state treasurer or the Michigan strategic fund shall do all of the following:

(i) The state treasurer shall require the owner or developer of the eligible property to provide the department of treasury with notice not more than 10 days from the date an employer commences or terminates occupancy within the eligible property. As used in this subdivision, "employer" means that term as defined in section 8 of the income tax act of 1967, 1967 PA 281, MCL 206.8.

(ii) The state treasurer shall develop methods and processes that are necessary for each employer occupying the eligible



1 property to report the amount of withholding under chapter 17 of
2 the income tax act of 1967, 1967 PA 281, MCL 206.701 to ~~206.715,~~
3 **206.718**, from individuals employed within the eligible property.

4 (iii) The Michigan strategic fund shall include the following
5 provisions in the development or reimbursement agreement for any
6 transformational brownfield plan that utilizes withholding tax
7 capture revenues:

8 (A) That the owner or developer of the eligible property shall
9 require each employer occupying the eligible property to comply
10 with the reporting requirements under this section through a
11 contract requirement, lease requirement, or other similar means.

12 (B) That reimbursement of withholding tax capture revenues is
13 limited to amounts that are reported in accordance with chapter 17
14 of the income tax act of 1967, 1967 PA 281, MCL 206.701 to ~~206.715,~~
15 **206.718**, and this state has no obligation with respect to
16 withholding tax capture revenues that are not reported or paid.

17 (iv) Notwithstanding anything to the contrary in this
18 subdivision, instead of the reporting and calculation methods
19 otherwise provided for, the owner or developer of a
20 transformational project site may elect to utilize a safe harbor
21 method of calculating withholding tax capture revenues. Under this
22 safe harbor method, the Michigan strategic fund shall establish a
23 safe harbor amount of annual withholding tax capture revenues for
24 each eligible property when the Michigan strategic fund approves
25 the transformational brownfield plan, and those amounts shall serve
26 as the basis for the transmittal of withholding tax capture
27 revenues to the owner or developer of the transformational project
28 site under section 8a(4). The Michigan strategic fund shall
29 establish the safe harbor amount for an eligible property by



1 imputing a standard level of employee occupancy that corresponds to
 2 the size and use of the eligible property or portion of the
 3 eligible property and a safe harbor average annual taxable wage for
 4 the individuals employed within the eligible property or portion of
 5 the eligible property. The safe harbor is effective only to the
 6 extent the eligible property or portion of the eligible property is
 7 actively occupied, as evidenced by the existence of a binding lease
 8 agreement or similar instrument. Imputations as to occupancy and
 9 wages may vary between projects based on location, the type and use
 10 of the eligible property, and other relevant factors. The Michigan
 11 strategic fund may adjust the safe harbor amount for an eligible
 12 property, or portion of the eligible property, after the time of
 13 plan approval as required to reflect changes in the
 14 transformational brownfield plan for the transformational project
 15 site that may occur after approval of the transformational
 16 brownfield plan, if those changes do not result in an aggregate
 17 increase in the level of withholding tax capture revenues from the
 18 amount initially established. ~~The~~ **Except as otherwise provided in**
 19 **this subparagraph, the** owner or developer of the transformational
 20 project site may elect to utilize the safe harbor method of
 21 accounting at any time before the first reimbursement of
 22 withholding tax capture revenues under the plan. **For any new**
 23 **project approved by the Michigan strategic fund board after**
 24 **December 31, 2025, the owner or developer of the transformational**
 25 **project site must elect to utilize the safe harbor method of**
 26 **accounting before approval of the project by the Michigan strategic**
 27 **fund board.** An election to utilize the safe harbor method of
 28 accounting, once made, cannot be rescinded **without approval by the**
 29 **Michigan strategic fund. As used in this subdivision, "Michigan**

1 **strategic fund board" means the board of directors of the Michigan**
 2 **strategic fund under section 5 of the Michigan strategic fund act,**
 3 **1984 PA 270, MCL 125.2005.**

4 (mmm) "Work plan" means a plan that describes each individual
 5 activity to be conducted to complete eligible activities and the
 6 associated costs of each individual activity.

7 (nnn) "Zone" means, for an authority established before June
 8 6, 2000, a brownfield redevelopment zone designated under this act.

9 Sec. 8a. (1) The state brownfield redevelopment fund is
 10 created as a revolving fund within the department of treasury to be
 11 administered as provided in this section. The state treasurer shall
 12 direct the investment of the state brownfield redevelopment fund.
 13 Money in the state brownfield redevelopment fund at the close of
 14 the fiscal year remains in the state brownfield redevelopment fund
 15 and does not lapse to the general fund.

16 (2) The state treasurer shall credit to the fund money from
 17 the following sources:

18 (a) All amounts deposited into the state brownfield
 19 redevelopment fund under subsection (4) and section 13b(14).

20 (b) The proceeds from repayment of a loan, including interest
 21 on those repayments, under subsection (3)(c)(vi).

22 (c) Interest on funds deposited into the state brownfield
 23 redevelopment fund.

24 (d) Money obtained from any other source authorized by law.

25 (3) The state brownfield redevelopment fund may be used only
 26 for the following purposes:

27 (a) Up to 15% of the amounts deposited annually into the state
 28 brownfield redevelopment fund may be used to pay administrative
 29 costs of all of the following:



(i) The Michigan strategic fund to implement this act.

(ii) The department to implement this act.

(iii) The department to implement part 196 of the natural resources and environmental protection act, 1994 PA 451, MCL 324.19601 to 324.19616.

(iv) The department of treasury to implement this act.

(b) To make deposits into the clean Michigan initiative bond fund under section 19606(2)(d) of the natural resources and environmental protection act, 1994 PA 451, MCL 324.19606, for use in providing grants and loans under section 19608(1)(a)(iv) of the natural resources and environmental protection act, 1994 PA 451, MCL 324.19608.

(c) To fund a grant and loan program created and operated by the Michigan strategic fund for the costs of eligible activities described in section 13b(4) on eligible properties. The grant and loan program must provide for all of the following:

(i) The Michigan strategic fund shall create and operate a grant and loan program to provide grants and loans to fund eligible activities described in section 13b(4) on eligible property. The Michigan strategic fund shall develop and use a detailed application, approval, and compliance process adopted by resolution of the board of the Michigan strategic fund. This process must be published and available on the Michigan strategic fund website. Program standards, guidelines, templates, or any other forms to implement the grant and loan program must be approved by the board of the Michigan strategic fund. The Michigan strategic fund may delegate its approval authority under this ~~subsection~~ **subdivision** to a designee.

(ii) A person may apply to the Michigan strategic fund for



1 approval of a grant or loan to fund eligible activities described
2 in section 13b(4) on eligible property.

3 (iii) The Michigan strategic fund shall approve or deny an
4 application not more than 60 days after receipt of an
5 administratively complete application. If the application is
6 neither approved nor denied within 60 days, it must be considered
7 by the board of the Michigan strategic fund, or its designee if
8 delegated, for action at, or by, the next regularly scheduled board
9 meeting. The Michigan strategic fund may delegate the approval or
10 denial of an application to the chairperson of the Michigan
11 strategic fund or other designees determined by the board.

12 (iv) If an application is approved under this ~~subsection,~~
13 **subdivision**, the Michigan strategic fund shall enter into a written
14 agreement with the applicant. The written agreement must provide
15 all the conditions imposed on the applicant and the terms of the
16 grant or loan. The written agreement must also provide for
17 penalties if the applicant fails to comply with the provisions of
18 the written agreement.

19 (v) After the Michigan strategic fund and the applicant have
20 entered into a written agreement under subparagraph (iv), the
21 Michigan strategic fund shall distribute the proceeds to the
22 applicant according to the terms of the written agreement.

23 (vi) Any proceeds from repayment of a loan, including interest
24 on those repayments, under this ~~subsection~~**subdivision** must be paid
25 into the state brownfield redevelopment fund or to the fund from
26 which the loan was generated, as described in subdivision (b) and
27 this subdivision.

28 (d) To distribute construction period tax capture revenues,
29 withholding tax capture revenues, income tax capture revenues, and



1 sales and use tax capture revenues in accordance with a
2 transformational brownfield plan under subsection (4).

3 (e) To distribute revenue deposited in the state brownfield
4 redevelopment fund from a brownfield plan that includes housing
5 development activities and that was approved by the Michigan state
6 housing development authority under section 13b(4)(b) to the
7 housing development fund created in section 23 of the state housing
8 development authority act of 1966, 1966 PA 346, MCL 125.1423.

9 (4) The state treasurer shall deposit annually from the
10 general fund into the state brownfield redevelopment fund an amount
11 equal to the construction period tax capture revenues, withholding
12 tax capture revenues, income tax capture revenues, and sales and
13 use tax capture revenues due to be transmitted under all
14 transformational brownfield plans. ~~The~~ **Except as otherwise provided**
15 **in this section, the** department of treasury shall distribute the
16 construction period tax capture revenues, withholding tax capture
17 revenues, income tax capture revenues, and sales and use tax
18 capture revenues to an authority, or to the owner or developer of
19 the eligible property to which the revenues are attributable, in
20 accordance with section 16(8) and the terms of the written
21 development or reimbursement agreement for each transformational
22 brownfield plan. Amounts transferred into the state brownfield
23 redevelopment fund attributable to a specific transformational
24 brownfield plan must be accounted for separately within the state
25 brownfield redevelopment fund and, **except as otherwise provided in**
26 **subsection (5),** must not be used for any other purpose or activity
27 under this section or for any transformational brownfield plan
28 other than the plan to which the revenues are attributable or for
29 the additional administrative costs under this section associated



1 with the implementation of a transformational brownfield plan.

2 (5) The amount attributable to the 25% increase in the amount
3 of construction period tax capture revenues, withholding tax
4 capture revenues, income tax capture revenues, and sales and use
5 tax capture revenues approved under section 14a(5) must be used for
6 all of the following purposes:

7 (a) 40% must be transferred to and deposited in the Michigan
8 housing and community development fund created in section 58a of
9 the state housing development authority act of 1966, 1966 PA 346,
10 MCL 125.1458a.

11 (b) 40% must be used for child care programs to increase the
12 availability of affordable child care in this state.

13 (c) 20% must be used for small business and placemaking
14 programs.

15 Sec. 13c. (1) Subject to the approval of the governing body
16 and Michigan strategic fund under section 14a, the board may
17 implement a transformational brownfield plan. The transformational
18 brownfield plan may consist of a single development on eligible
19 property or a series of developments on eligible property that are
20 part of a related program of investment, whether or not located on
21 contiguous parcels, and may be amended to apply to additional
22 parcels of eligible property **if each additional parcel of property**
23 **is a site or property as those terms are defined in part 213, a**
24 **historic resource, functionally obsolete, or blighted.** Each
25 amendment to a transformational brownfield plan must be approved by
26 the governing body of the municipality in which it is located and
27 the Michigan strategic fund and must be consistent with the
28 approval requirements in this section.

29 (2) A transformational brownfield plan may authorize the use



1 of construction period tax capture revenues, withholding tax
2 capture revenues, income tax capture revenues, tax increment
3 revenues, and sales and use tax capture revenues for eligible
4 activities described in section 2(o)(v). Except as otherwise
5 provided in section 13b(6)(d), tax increment revenues, construction
6 period tax capture revenues, withholding tax capture revenues,
7 income tax capture revenues, and sales and use tax capture revenues
8 must be used only for the costs of eligible activities included
9 within the transformational brownfield plan to which the revenues
10 are attributable, including the cost of principal of and interest
11 on any obligation to pay the cost of the eligible activities.

12 (3) A transformational brownfield plan is a brownfield plan
13 and, except as otherwise provided, is subject to sections 13, 13a,
14 13b, 14, and 15. In addition to the information required under
15 section 13(2), a transformational brownfield plan must contain all
16 of the following:

17 (a) The basis for designating the plan as a transformational
18 brownfield plan under section 2(hhh).

19 (b) A description of the costs of the transformational
20 brownfield plan intended to be paid for with construction period
21 tax capture revenues, withholding tax capture revenues, income tax
22 capture revenues, and sales and use tax capture revenues.

23 (c) An estimate of the amount of construction period tax
24 capture revenues, withholding tax capture revenues, income tax
25 capture revenues, and sales and use tax capture revenues expected
26 to be generated for each year of the transformational brownfield
27 plan from the eligible property.

28 (d) The beginning date and duration of capture of construction
29 period tax capture revenues, withholding tax capture revenues,



1 income tax capture revenues, and sales and use tax capture revenues
2 for each eligible property as determined under subsections (8) and
3 (11).

4 (4) Subject to section 14a(7), the transformational brownfield
5 plan may provide for the use of part or all of the tax increment
6 revenues, construction period tax capture revenues, withholding tax
7 capture revenues, income tax capture revenues, and sales and use
8 tax capture revenues. The portion of tax increment revenues,
9 construction period tax capture revenues, withholding tax capture
10 revenues, income tax capture revenues, and sales and use tax
11 capture revenues to be used may vary over the duration of the
12 transformational brownfield plan, but the portion intended to be
13 used must be clearly stated in the transformational brownfield
14 plan.

15 (5) Approval of a transformational brownfield plan, or an
16 amendment to a transformational brownfield plan, must be in
17 accordance with the notice, approval, and public hearing
18 requirements of sections 14 and 14a, except that the governing body
19 shall provide notice to the Michigan strategic fund not less than
20 30 days before the hearing on a transformational brownfield plan.

21 (6) If a transformational brownfield plan authorizes the use
22 of construction period tax capture revenues, withholding tax
23 capture revenues, income tax capture revenues, or sales and use tax
24 capture revenues, approval of a combined brownfield plan or work
25 plan by the Michigan strategic fund and a written development or
26 reimbursement agreement between the owner or developer of the
27 eligible property, the authority, and the Michigan strategic fund
28 are required. **For transformational brownfield plans approved after**
29 **the effective date of the amendatory act that added section 16a,**



1 **the written development or reimbursement agreement must include**
2 **annual project milestones. The milestones may include, but are not**
3 **limited to, milestones related to construction progress, capital**
4 **investment, residential housing completion, and tax captures.** If a
5 plan authorizes the use of tax increment revenues for eligible
6 activities under section 2(o)(v) other than eligible activities
7 described in section 13b, approval of a work plan or combined
8 brownfield plan by the Michigan strategic fund to use tax increment
9 revenues for those additional eligible activities is required. A
10 work plan or combined brownfield plan under this subsection must be
11 consolidated with a work plan or combined brownfield plan under
12 section 13b(4). The eligible activities to be conducted must be
13 consistent with the work plan submitted by the authority to the
14 Michigan strategic fund.

15 (7) On approval of the transformational brownfield plan by the
16 governing body and Michigan strategic fund, and the execution of
17 the written development or reimbursement agreement, the transfer
18 and distribution of construction period tax capture revenues,
19 withholding tax capture revenues, income tax capture revenues, and
20 sales and use tax capture revenues as specified in this act and in
21 the plan are binding on this state and the collection and
22 transmission of the amount of tax increment revenues as specified
23 in this act and in the plan are binding on all taxing units levying
24 ad valorem property taxes or specific taxes against property
25 subject to the transformational brownfield plan.

26 (8) A transformational brownfield plan must not authorize the
27 capture or use of tax increment revenues, construction period tax
28 capture revenues, withholding tax capture revenues, income tax
29 capture revenues, or sales and use tax capture revenues after the



1 year in which the total amount of the revenue captured under the
2 transformational brownfield plan is equal to the sum of the costs
3 permitted to be funded with the revenue under the transformational
4 brownfield plan. **If a transformational brownfield plan receives**
5 **more money than allowed under this act or the transformational**
6 **brownfield plan, the excess must be returned to this state and**
7 **deposited in the state brownfield redevelopment fund.**

8 (9) The brownfield authority and Michigan strategic fund may
9 reimburse advances, with or without interest, made by a
10 municipality under section 7(3), a land bank fast track authority,
11 or any other person or entity for costs of eligible activities
12 included within a transformational brownfield plan using tax
13 increment revenues, construction period tax capture revenues,
14 withholding tax capture revenues, income tax capture revenues, or
15 sales and use tax capture revenues attributable to that plan. On
16 approval of the Michigan strategic fund, the amount of tax
17 increment revenues, construction period tax capture revenues,
18 withholding tax capture revenues, income tax capture revenues, and
19 sales and use tax capture revenues authorized to be captured under
20 a transformational brownfield plan may include amounts required for
21 the payment of interest under this subsection. A written
22 development or reimbursement agreement must be entered into under
23 subsection (6) before any reimbursement or payment using tax
24 increment revenues, construction period tax capture revenues,
25 withholding tax capture revenues, income tax capture revenues, or
26 sales and use tax capture revenues may commence. A reimbursement
27 agreement for these purposes and the obligations under that
28 reimbursement agreement are not subject to section 12 or the
29 revised municipal finance act, 2001 PA 34, MCL 141.2101 to



1 141.2821.

2 (10) Eligible activities conducted on eligible property before
3 approval of the transformational brownfield plan may be reimbursed
4 from tax increment revenues, construction period tax capture
5 revenues, withholding tax capture revenues, income tax capture
6 revenues, and sales and use tax capture revenues if those costs and
7 the eligible property are subsequently included in a
8 transformational brownfield plan approved by the governing body and
9 Michigan strategic fund, a combined brownfield plan or work plan
10 approved by the Michigan strategic fund, and a written development
11 or reimbursement agreement under subsection (6). Reimbursement
12 under this subsection is limited to eligible expenses incurred
13 within 90 days of the approval of the transformational brownfield
14 plan by the Michigan strategic fund.

15 (11) The duration of the capture of withholding tax capture
16 revenues, income tax capture revenues, and sales and use tax
17 capture revenues under a transformational brownfield plan for a
18 particular eligible property must not exceed the lesser of the
19 period authorized under subsection (8) or 20 years from the
20 beginning date of the capture of withholding tax capture revenues
21 income tax capture revenues, and sales and use tax capture revenues
22 for that eligible property. The beginning date for the capture of
23 tax increment revenues, withholding tax capture revenues, income
24 tax capture revenues, and sales and use tax capture revenues for an
25 eligible property must not be later than 5 years following the date
26 the Michigan strategic fund approves the inclusion of the eligible
27 property in a transformational brownfield plan. Subject to the
28 approval of the governing body and Michigan strategic fund, the
29 authority may amend the beginning date of capture of tax increment



revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues to a date not later than 5 years following the date the Michigan strategic fund approved inclusion of the eligible property in the transformational brownfield plan if capture of the revenues under the transformational brownfield plan has not yet commenced. Solely with respect to a related program of investment as defined in subsection (12), subject to the approval of the governing body and Michigan strategic fund, the authority may amend the beginning date of capture of tax increment revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues for an eligible property included within a related program of investment to a date later than 5 years following the date the Michigan strategic fund approved inclusion of the eligible property in the transformational brownfield plan if the governing body and Michigan strategic fund determine that the developer of the related program of investment has proceeded in good faith and made reasonable and substantial progress in the implementation of the related program of investment. **Construction period tax capture revenues may not be captured under a transformational brownfield plan for a particular eligible property after the date that is 10 years from the date ground is broken for construction on that eligible property.**

(12) For purposes of subsection (1), a series of developments on parcels that are not contiguous is considered a related program of investment if all of the following are met:

(a) The developments are proposed to be undertaken concurrently or in reasonable succession.

(b) For developments under affiliated ownership, the



1 developments are reasonably contiguous and are part of a program of
2 investment in a logically defined geography, including, but not
3 limited to, a downtown district as defined in section 201 of the
4 recodified tax increment financing act, 2018 PA 57, MCL 125.4201,
5 or a principal shopping district or business improvement district
6 as defined in section 1 of 1961 PA 120, MCL 125.981, and including
7 areas that are logically related to those districts and that will
8 promote infill development.

9 (c) For developments under unrelated ownership, in addition to
10 the criteria described in subdivisions (a) and (b), the
11 developments are part of a master development plan, area plan, sub-
12 area plan, or similar development plan that has been approved or
13 adopted by resolution of the governing body.

14 (d) The designation of the developments as a related program
15 of investment is consistent with the purposes of this act and is
16 not a combination of unrelated or minimally related projects
17 calculated to meet the minimum investment threshold.

18 (13) If undeveloped property included in a transformational
19 brownfield plan has been designated as a renaissance zone under the
20 Michigan renaissance zone act, 1996 PA 376, MCL 125.2681 to
21 125.2696, on the request of the owner or developer of the eligible
22 property and the local governmental unit that designated the zone,
23 the Michigan strategic fund, and a city levying a tax under the
24 city income tax act, 1964 PA 284, MCL 141.501 to 141.787, may elect
25 under section 9(4) of the Michigan renaissance zone act, 1996 PA
26 376, MCL 125.2689, to terminate the exemptions, deductions, or
27 credits provided for in section 9(1)(b) and (c) of that act, and
28 reimburse the authority, or owner or developer of the eligible
29 property, an annual amount equal to the revenue collected for each



1 tax year as a result of the termination of the exemptions,
2 deductions, or credits that would otherwise be in effect. In
3 implementing this subsection, all of the following apply:

4 (a) The authority and Michigan strategic fund shall include
5 amounts anticipated to be collected under this subsection in the
6 income tax capture revenues authorized to be used under the
7 transformational brownfield plan and associated work plan or
8 combined brownfield plan.

9 (b) The state treasurer shall calculate for each tax year the
10 amount of revenue this state collected as a result of the operation
11 of this subsection and shall deposit that amount as income tax
12 capture revenues into the state brownfield redevelopment fund,
13 where the funds must be transmitted in the manner provided for in
14 sections 8a(4) and 16(8).

15 (c) A city levying a city income tax under the city income tax
16 act, 1964 PA 284, MCL 141.501 to 141.787, shall calculate for each
17 tax year the amount of revenue the city collected as a result of
18 the operation of this subsection and shall enter into a binding
19 reimbursement agreement with the authority, and owner or developer
20 of the eligible property, providing for the payment of the amounts
21 to the authority, or the owner or developer of the eligible
22 property, for eligible activities as provided in the
23 transformational brownfield plan. City income taxes administered by
24 the department of treasury pursuant to the city income tax act,
25 1964 PA 284, MCL 141.501 to 141.787, are subject to the procedures
26 of subdivision (b) regarding the calculation and deposit of any
27 revenue collected as a result of the operation of this subsection.

28 (d) The department of treasury may require the owner or
29 developer to submit any information necessary for the calculation



1 of revenue collected pursuant to the operation of this subsection.
2 This state has no obligation for calculating revenues to be
3 collected pursuant to the operation of this subsection if the
4 required information is not reported.

5 (14) The authority and governing body are solely responsible
6 for deciding whether to seek approval of a brownfield plan as a
7 transformational brownfield plan. Nothing in this section or
8 section 14a operates to prejudice or limit consideration of a
9 brownfield plan under sections 13 and 14, including a decision by
10 the Michigan strategic fund not to approve a plan as a
11 transformational brownfield plan.

12 (15) This act does not preclude an authority established by a
13 county from seeking approval of a brownfield plan as a
14 transformational brownfield plan. In the event that an authority
15 established by a county seeks approval of a plan that extends into
16 more than 1 of its component local units of government and that
17 plan includes eligible property in more than 1 municipality that is
18 not a county, the minimum investment requirements of section 2(hhh)
19 must be established with reference to combined population of the
20 municipalities that are not a county in which the eligible property
21 is located.

22 Sec. 14a. (1) The governing body and Michigan strategic fund
23 shall determine whether to approve a transformational brownfield
24 plan in accordance with this section.

25 (2) The governing body shall make an initial determination as
26 to whether the transformational brownfield plan constitutes a
27 public purpose in accordance with section 14(5). If the governing
28 body determines the transformational brownfield plan does not
29 constitute a public purpose, it shall reject the transformational



1 brownfield plan.

2 (3) If the governing body determines that the transformational
3 brownfield plan constitutes a public purpose, the governing body
4 may then approve or reject the transformational brownfield plan, or
5 approve it with modification, by resolution based on all of the
6 following considerations:

7 (a) Whether the transformational brownfield plan meets the
8 requirements of section 2(hhh), which must include a determination
9 that the transformational brownfield plan is calculated to, and has
10 the reasonable likelihood to, have a transformational impact on
11 local economic development and community revitalization based on
12 the extent of brownfield redevelopment and growth in population,
13 commercial activity, and employment that will result from the
14 transformational brownfield plan.

15 (b) Whether the transformational brownfield plan meets the
16 requirements of sections 13, 13b, and 13c.

17 (c) Whether the costs of eligible activities proposed are
18 reasonable and necessary to carry out the purposes of this act.

19 (d) Whether the amount of captured taxable value, construction
20 period tax capture revenues, withholding tax capture revenues,
21 income tax capture revenues, and sales and use tax capture revenues
22 estimated to result from adoption of the transformational
23 brownfield plan are reasonable.

24 (e) Whether the transformational brownfield plan takes into
25 account the criteria described in section 90b(4) of the Michigan
26 strategic fund act, 1984 PA 270, MCL 125.2090b.

27 (f) Whether subject to subsection (22)(d), the
28 transformational brownfield plan includes provisions for affordable
29 housing.



(4) Within 90 days of the completion of an administratively complete application and the analysis required under subsection (5), the Michigan strategic fund shall approve or reject the transformational brownfield plan, or approve it with modification, by resolution based on the criteria in subsection (3).

(5) In determining whether to approve a transformational brownfield plan under subsection (3)(c) and (d), the Michigan strategic fund shall conduct a financial and underwriting analysis of the developments included in the plan. The analysis must consider both projected rental rates at the time of project delivery and potential increases in rental rates over time. ~~The~~ **Except as otherwise provided in this subsection, the** Michigan strategic fund shall not approve the use of construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues beyond the amount determined to be necessary for the project to be economically viable. The Michigan strategic fund shall develop standardized underwriting criteria for determining economic viability. The Michigan strategic fund shall take into account the impact of the sales and use tax exemptions under section 4d(n) of the general sales tax act, 1933 PA 167, MCL 205.54d, and section 4dd of the use tax act, 1937 PA 94, MCL 205.94dd, in determining the amount of construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues required for the project to be economically viable. The Michigan strategic fund shall ensure that each transformational brownfield plan includes a significant equity contribution from the owner or developer as determined by the **Michigan strategic fund. The Michigan strategic fund shall increase**



1 the amount of construction period tax capture revenues, withholding
 2 tax capture revenues, income tax capture revenues, and sales and
 3 use tax capture revenues approved under this subsection by 25%, and
 4 that amount must be retained by this state for the purposes
 5 described in section 8a(5).

6 (6) The Michigan strategic fund shall require an independent,
 7 third-party underwriting analysis under subsection (3)(d) **and an**
 8 **independent, third-party analysis of the plan's anticipated fiscal**
 9 **benefits to this state** for any plan that **either** proposes to use
 10 more than \$10,000,000.00 in any year in withholding tax capture
 11 revenues, income tax capture revenues, and sales and use tax
 12 capture revenues, as determined by the first full year of tax
 13 capture under the plan, **or proposes to use the safe harbor method**
 14 **of calculation under section 2(dd)(iii) or (lll)(iv) and the actual**
 15 **capital investment, as determined in accordance with section 2(o)(v)**
 16 **and (hhh), has a total development cost of \$100,000,000.00 or more.**

17 The cost of the independent, third-party ~~underwriting analysis~~
 18 **analyses** must be paid by the owner or developer of the eligible
 19 property. In addition to the independent, third-party underwriting
 20 analysis **and the independent, third-party analysis of the plan's**
 21 **anticipated fiscal benefits to this state,** the Michigan strategic
 22 fund shall require an independent, third-party analysis of the
 23 sales and use tax capture revenue estimates for any plan that
 24 includes sales and use tax capture revenues. The cost of the
 25 independent, third-party analysis must be paid by the owner or
 26 developer of the eligible property. The Michigan strategic fund
 27 shall consult with the state treasurer before approving any
 28 transformational brownfield plan subject to this subsection. This
 29 subsection does not limit the ability of the Michigan strategic



1 fund to utilize independent, third-party analyses on plans not
2 subject to this subsection.

3 (7) Except as otherwise provided in this subsection, the
4 Michigan strategic fund may not approve a transformational
5 brownfield plan that proposes to use more than 50% of the
6 withholding tax capture revenues or 50% of the income tax capture
7 revenues. The Michigan strategic fund may modify the amount of
8 withholding tax capture revenues and income tax capture revenues
9 before approving a transformational brownfield plan to bring the
10 transformational brownfield plan into compliance with subsection

11 **(5). The Michigan strategic fund may approve a transformational**
12 **brownfield plan that proposes to capture 100% of the withholding**
13 **tax capture revenues for a qualified cultural institution project**
14 **for a duration of up to 20 years or until an agreed-upon level of**
15 **total capture is achieved, whichever occurs first.** The Michigan
16 strategic fund may approve a transformational brownfield plan that
17 proposes to use more than 50% of the income tax capture revenues if
18 1 of the following applies:

19 (a) The income tax capture revenues are attributable to the
20 election under section 13c(13).

21 (b) The applicable eligible properties within the
22 transformational brownfield plan are subject to a written, binding
23 ~~affordable~~-housing agreement with the local governmental unit **that**
24 **provides that not less than 20% of the residential housing units**
25 **must be used for affordable or workforce housing,** which agreement
26 must be provided to the Michigan strategic fund, in which case the
27 Michigan strategic fund may approve a transformational brownfield
28 plan that proposes to use up to 100% of the income tax capture
29 revenues, subject to the underwriting and financial analysis



1 required under subsection (5).

2 **(c) The transformational brownfield plan relates to a project**
3 **that will result in a business in a high-demand industry or an**
4 **industry that has a high job multiplier locating or expanding in**
5 **this state, as determined by the Michigan strategic fund. If a**
6 **business is an existing business located in this state, to be**
7 **eligible under this subdivision the business must do both of the**
8 **following:**

9 **(i) Demonstrate that the jobs that will result from the project**
10 **are in addition to any existing jobs the business has in this**
11 **state.**

12 **(ii) Agree to maintain all existing jobs in this state.**

13 **(iii) Agree that a position that is cut and later rehired may**
14 **not be considered a new job.**

15 **(iv) Agree to the application of subsection (28).**

16 (8) The Michigan strategic fund shall require the owner or
17 developer of the eligible property to certify the actual capital
18 investment, as determined in accordance with section 2(o)(v) and
19 (hhh), on the completion of construction and before the
20 commencement of reimbursement from withholding tax capture
21 revenues, income tax capture revenues, sales and use tax capture
22 revenues, or tax increment revenues, for the plan or the distinct
23 phase or project within the plan for which reimbursement will be
24 provided. If the actual capital investment is less than the amount
25 included in the plan, the Michigan strategic fund shall review the
26 determination under subsection (5) and may modify the amount of
27 reimbursement if, and to the extent, such a modification is
28 necessary to maintain compliance with subsection (5). The
29 transformational brownfield plan, work plan, and development and



reimbursement agreement must include provisions to enforce the requirements and remedies under this subsection. If the actual level of capital investment does not meet the applicable minimum investment requirement under section 2(hhh) and is outside of the safe harbor under subsection (15), the Michigan strategic fund ~~may~~ **shall** take 1 **or more** of the following remedial actions:

(a) ~~For a plan that consists of a single development, reduce~~ **Reduce** the amount of reimbursement under the plan.

(b) ~~For a plan that consists of distinct phases or projects,~~ ~~if~~ **If** the failure to meet the minimum investment threshold is the result of failure to undertake additional distinct phases or projects as provided for in the plan, 1 or more of the following:

(i) Permanently rescind the authorization to use tax increment revenues, construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues for the additional distinct phases or projects in the plan.

(ii) ~~If the Michigan strategic fund determines that the applicable owner or developer acted in bad faith, reduce~~ **Reduce** the amount of reimbursement for completed phases of the plan.

(c) If the Michigan strategic fund determines that the applicable owner or developer acted in bad faith, cease all reimbursement under the plan.

(9) On approval by the Michigan strategic fund, the minimum investment requirements in section 2(hhh) and limitation under subsection (22)(a) and (b) may be waived if the transformational brownfield plan meets 1 of the following criteria:

(a) Is for eligible property in an area approved by the Michigan state housing development authority as eligible for blight



1 elimination program funding under the housing finance agency
2 innovation fund for the hardest hit housing markets authorized
3 pursuant to the emergency economic stabilization act of 2008,
4 division A of Public Law 110-343, 12 USC 5201 to 5261. For purposes
5 of this subdivision, an area approved as eligible for blight
6 elimination program funding means that specific portion or portions
7 of a municipality where the Michigan state housing development
8 authority approved the expenditure of blight elimination program
9 funds pursuant to an application identifying the target areas.

10 (b) Is for eligible property in a municipality that was
11 subject to a state of emergency under the emergency management act,
12 1976 PA 390, MCL 30.401 to 30.421, issued for drinking water
13 contamination.

14 (c) Is for eligible property that is a historic resource if
15 the Michigan strategic fund determines the redevelopment is not
16 economically feasible absent the transformational brownfield plan.

17 (d) Is for eligible property that is located in a city,
18 village, or township with a population of less than 25,000 or that
19 is otherwise eligible for the corresponding population tier in
20 section 2(hhh)(vi), as determined in accordance with subsection
21 (15), if the Michigan strategic fund determines that the
22 redevelopment is not economically feasible absent the
23 transformational brownfield plan.

24 (10) In determining whether a plan under subsection (9) has a
25 transformational impact for purposes of section 2(hhh) and
26 subsection (3)(a), the governing body and Michigan strategic fund
27 shall consider the impact of the transformational brownfield plan
28 in relation to existing investment and development conditions in
29 the project area and whether the transformational brownfield plan



1 will act as a catalyst for additional revitalization of the area in
2 which it is located.

3 (11) The Michigan strategic fund may not approve more than 5
4 transformational brownfield plans under subsection (9) in a
5 calendar year, except that if the Michigan strategic fund approves
6 fewer than 5 plans in a calendar year under subsection (9), the
7 unused approval authority carries forward into future calendar
8 years and remains available. ~~until December 31, 2027.~~ The Michigan
9 strategic fund also shall not approve more than 5 transformational
10 brownfield plans under subsection (9) in any individual city,
11 village, or township before December 31, 2022.

12 (12) Except as otherwise provided in this subsection,
13 amendments to an approved transformational brownfield plan must be
14 submitted by the authority to the governing body and to the
15 Michigan strategic fund for approval or rejection following the
16 same notice necessary for approval or rejection of the original
17 transformational brownfield plan. Notice is not required for
18 revisions in the estimates of tax increment revenues, construction
19 period tax capture revenues, withholding tax capture revenues,
20 income tax capture revenues, or sales and use tax capture revenues.

21 (13) Except as provided in this subsection, an amendment to an
22 approved transformational brownfield plan under section 13c(1) is
23 not considered a new plan approval subject to the limitation in
24 subsection (22)(a). The Michigan strategic fund may consider an
25 amendment as a new plan approval only if the amendment adds
26 eligible property and the Michigan strategic fund determines that
27 approving the addition as an amendment would be inconsistent with
28 the purposes of this act.

29 (14) The procedure, adequacy of notice, and findings under



1 this section are presumptively valid unless contested in a court of
2 competent jurisdiction within 60 days after approval of the
3 transformational brownfield plan by the Michigan strategic fund. An
4 approved amendment to a conclusive transformational brownfield plan
5 is likewise conclusive unless contested within 60 days after
6 approval of the amendment by the Michigan strategic fund. If a
7 resolution adopting an amendment to the transformational brownfield
8 plan is contested, the original resolution adopting the
9 transformational brownfield plan is not open to contest.

10 (15) The determination as to whether a transformational
11 brownfield plan complies with the minimum investment requirements
12 in section 2(hhh) must be made with reference to the most recent
13 decennial census data available at the time of approval by the
14 authority. A plan in a municipality that exceeds a population tier
15 under section 2(hhh) by not more than 10% of the maximum population
16 for that tier is, on election of the authority, subject to the
17 investment requirement for that tier. A transformational brownfield
18 plan that is expected to result in, or does result in, a total
19 capital investment that is within 10% of the applicable minimum
20 investment requirement ~~is~~**may be** considered to satisfy the
21 applicable requirement under section 2(hhh).

22 (16) For purposes of a transformational brownfield plan,
23 determination as to whether property is functionally obsolete may
24 include considerations of economic obsolescence as determined in
25 accordance with the Michigan state tax commission's assessor's
26 manual.

27 (17) Any positive or negative determination by the Michigan
28 strategic fund under this section must be supported by objective
29 analysis and documented in the record of its proceedings.



1 (18) The Michigan strategic fund shall charge and collect a
2 reasonable application fee as necessary to cover the costs
3 associated with the review and approval of a transformational
4 brownfield plan.

5 (19) ~~The~~ **Except as otherwise provided in this subsection, the**
6 Michigan strategic fund shall not commit, and the department of
7 treasury shall not disburse, more than \$80,000,000.00 in total
8 annual tax capture. **In determining whether a limit described in**
9 **this subsection is met, the 25% increase in the amount of**
10 **withholding tax capture revenues, income tax capture revenues, and**
11 **sales and use tax capture revenues approved under section 14a(5)**
12 **and an amount committed or disbursed under subsection (27) must not**
13 **be included.** As used in this subsection, "total annual tax capture"
14 means the total annual amount of income tax capture revenues,
15 withholding tax capture revenues, and sales and use tax capture
16 revenues that may be reimbursed each calendar year under all
17 transformational brownfield plans. In addition to the
18 \$80,000,000.00 annual limit, ~~both~~ **all** of the following provisions
19 apply:

20 (a) **The Michigan strategic fund may commit, and the department**
21 **of treasury may disburse, an additional \$80,000,000.00 in total**
22 **annual tax capture if the additional amount is used for new**
23 **transformational brownfield plans and not existing transformational**
24 **brownfield plans. As used in this subdivision and subdivision (b):**

25 (i) **"Existing transformational brownfield plan" means a**
26 **transformational brownfield plan that is approved before the**
27 **effective date of the amendatory act that added section 16a,**
28 **regardless of whether that transformational brownfield plan is**
29 **amended after the effective date of the amendatory act that added**



1 section 16a and regardless of whether an amendment to that
 2 transformational brownfield plan is considered a new plan approval
 3 by the Michigan strategic fund under section 14a(13).

4 (ii) "New transformational brownfield plan" means a
 5 transformational brownfield plan that is approved on or after the
 6 effective date of the amendatory act that added section 16a.

7 (b) ~~(a)~~ With respect to the availability of uncommitted
 8 amounts, if an amount authorized to be committed for a calendar
 9 year has not been committed, the uncommitted amount for that
 10 calendar year remains available to be committed and disbursed in a
 11 subsequent calendar year and is in addition to the annual limits
 12 otherwise applicable. **An amount that is not disbursed or is repaid**
 13 **as a result of a remedial action under subsection (8) is considered**
 14 **an uncommitted amount for purposes of this subdivision.** However,
 15 not more than \$30,000,000.00 may be committed or disbursed in any
 16 calendar year above the ~~\$80,000,000.00~~ **\$160,000,000.00 total** annual
 17 limit as a result of the operation of this subdivision, and all
 18 commitments and disbursements under this subdivision remain subject
 19 to the overall limitation in subsection (20). **An uncommitted amount**
 20 **described in this subdivision may be used for existing**
 21 **transformational brownfield plans or new transformational**
 22 **brownfield plans, as determined by the Michigan strategic fund,**
 23 **regardless of whether the uncommitted amount is attributable to the**
 24 **additional amount described in subdivision (a).**

25 (c) ~~(b)~~ With respect to the availability of committed but
 26 undisbursed amounts, if an amount has been committed under an
 27 approved transformational brownfield plan for a calendar year but
 28 has not been disbursed, the undisbursed amount for that year is
 29 available to be disbursed in a subsequent calendar year and is in



1 addition to the annual limit otherwise applicable.

2 (20) The Michigan strategic fund shall not commit, and the
 3 department of treasury shall not disburse, a total amount of income
 4 tax capture revenues, withholding tax capture revenues, and sales
 5 and use tax capture revenues that exceeds
 6 ~~\$1,600,000,000.00.~~ **\$3,500,000,000.00. In determining whether the**
 7 **limit under this subsection is met, the 25% increase in the amount**
 8 **of withholding tax capture revenues, income tax capture revenues,**
 9 **and sales and use tax capture revenues approved under section**
 10 **14a(5) must be included. However, an amount committed or disbursed**
 11 **under subsection (27) must not be included in determining whether**
 12 **the limit under this subsection is met.**

13 (21) The Michigan strategic fund shall not approve more than a
 14 total of \$200,000,000.00 in construction period tax capture
 15 revenues **and projected sales and use tax exemptions under section**
 16 **4d(n) of the general sales tax act, 1933 PA 167, MCL 205.54d, and**
 17 **section 4dd of the use tax act, 1937 PA 94, MCL 205.94dd. However,**
 18 **sales and use tax exemptions approved before the effective date of**
 19 **the amendatory act that added section 16a, the 25% increase in the**
 20 **amount of construction period tax capture revenues approved under**
 21 **section 14a(5), and an amount approved under subsection (27) do not**
 22 **have to be included in determining whether the \$200,000,000.00**
 23 **limit is met.** The Michigan strategic fund shall project the value
 24 of the sales and use tax exemptions under each transformational
 25 brownfield plan at the time of plan approval and shall require such
 26 information from the owner or developer as is necessary to perform
 27 this calculation. The Michigan strategic fund also shall require
 28 the owner or developer of the eligible property to report the
 29 actual value of the sales and use tax exemptions each tax year of



the construction period and at the end of the construction period.
If the value of the actual sales and use tax exemptions and construction period tax capture revenues under all transformational brownfield plans exceeds the limit of \$200,000,000.00 under this subsection by more than a de minimis amount, as determined by the state treasurer, the state treasurer shall take corrective action and may reduce future disbursements to achieve compliance with this subsection. The corrective action described in this subsection shall not reduce the disbursement for an individual plan by an amount that is more than the amount by which the value of the sales and use tax exemptions for that plan exceeded the amount projected at the time of plan approval and included in the plan. The Michigan strategic fund shall not reduce the disbursement for an individual plan whose sales and use tax exemptions do not have to be included in determining whether the \$200,000,000.00 limit is met. The Michigan strategic fund and the department of treasury shall prescribe specific methods for implementing this subsection and subsection (25) not later than 60 days after the effective date of the amendatory act that added section 16a.

(22) The Michigan strategic fund shall comply with all of the following:

(a) Not approve more than 5 transformational brownfield plans in a calendar year, except that if the Michigan strategic fund approves fewer than 5 plans in a calendar year, the unused approval authority carries forward into future calendar years and remains available. ~~until December 31, 2027.~~

(b) Not approve more than 5 transformational brownfield plans in any individual city, village, or township before December 31, 2022.



(c) ~~Ensure an equitable geographic distribution of that the~~
 plans approved under this subsection, ~~which must achieve a balance~~
~~between the needs of municipalities of differing sizes and~~
~~differing geographic areas of the state.~~ **are geographically**
diverse. Subject to the receipt of qualified transformational
 brownfield plans meeting the criteria under this section and
 section 13c, the Michigan strategic fund shall ensure that ~~both of~~
~~the following requirements are met:~~ **transformational brownfield**
plans approved under this act are distributed equally, to the
extent practicable, between all of the following:

(i) ~~Not less than 33% and not more than 38% of the total~~
~~transformational brownfield plans approved under this act before~~
~~December 31, 2027 will be located in cities,~~ **Cities,** villages, and
 townships with a population of less than 100,000.

(ii) ~~Not less than 33% and not more than 38% of the total~~
~~transformational brownfield plans approved under this act before~~
~~December 31, 2027 will be located in cities,~~ **Cities,** villages, and
 townships with a population of not less than 100,000 and not more
 than 225,000.

(iii) **Cities, villages, and townships with a population of more**
than 225,000.

(d) In coordination with the governing body, shall determine
 the appropriate provisions regarding affordable housing on a plan-
 by-plan basis. **A transformational brownfield plan for a project**
that includes the development of residential housing must not be
approved after the effective date of the amendatory act that added
section 16a unless it includes an affordable housing component.

(23) In the event of a proposed change in ownership of
 eligible property subject to a transformational brownfield plan for



1 which reimbursement will continue, the approval of the Michigan
 2 strategic fund is required before the assignment or transfer of the
 3 development and reimbursement agreement.

4 (24) If the Michigan strategic fund approves a
 5 transformational brownfield plan and work plan, and subsequent to
 6 that approval, amendments are made to this act, the Michigan
 7 strategic fund may amend those plans to make conforming and
 8 consistent changes to the approved transformational brownfield plan
 9 and work plan on an administrative basis, if those changes do not
 10 result in any increase in the aggregate total amount of
 11 reimbursement authorized under the initial transformational
 12 brownfield plan. The authority of the Michigan strategic fund to
 13 administratively amend transformational brownfield plans and work
 14 plans under this subsection also applies to transformational
 15 brownfield plans and work plans entered into before December 27,
 16 2021.

17 ~~(25) The Michigan strategic fund shall not approve any new~~
 18 ~~transformational brownfield plans after December 31, 2027. A~~
 19 ~~transformational brownfield plan approved before December 31, 2022~~
 20 ~~remains in effect and may be amended in accordance with this~~
 21 ~~act.~~ **For transformational brownfield plans approved on or after the**
 22 **effective date of the amendatory act that added section 16a, the**
 23 **Michigan strategic fund shall not approve more than \$300,000,000.00**
 24 **in total construction period tax capture revenues, income tax**
 25 **capture revenues, sales and use tax capture revenues, withholding**
 26 **tax capture revenues, and projected sales and use tax exemptions**
 27 **under section 4d(n) of the general sales tax act, 1933 PA 167, MCL**
 28 **205.54d, and section 4dd of the use tax act, 1937 PA 94, MCL**
 29 **205.94dd, for a single transformational brownfield plan. If the**



value of the actual sales and use tax exemptions, construction period tax capture revenues, income tax capture revenues, sales and use tax capture revenues, and withholding tax capture revenues for a transformational brownfield plan approved on or after the effective date of the amendatory act that added section 16a exceeds the limit of \$300,000,000.00 under this subsection by more than a de minimis amount, as determined by the state treasurer, the state treasurer shall take corrective action and may reduce future disbursements to achieve compliance with the aggregate limitation under this subsection.

(26) On approval by the Michigan strategic fund, the mixed-use requirement in section 2(hhh) may be waived for ~~a~~**any of the following:**

(a) A brownfield plan that otherwise meets the location, population, and minimum investment requirement under section 2(hhh) (vi) .

(b) A brownfield plan for a qualified cultural institution project.

(c) A brownfield plan for an industrial project.

(27) The Michigan strategic fund may approve and commit, and the department of treasury may disburse, a total of \$100,000,000.00 in construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, and sales and use tax capture revenues for transformational brownfield plans for eligible property that is in bankruptcy, foreclosure, or otherwise insolvent. The \$100,000,000.00 allowed to be approved, committed, and disbursed under this subsection is in addition to any other amounts allowed to be approved, committed, or disbursed under this section.



(28) Notwithstanding anything to the contrary in this act, if an owner or developer of eligible property under a transformational brownfield plan reduces the number of employees the owner or developer has in this state and that reduction results in a net job loss to this state, the authority to capture construction period tax capture revenues, withholding tax capture revenues, income tax capture revenues, tax increment revenues, and sales and use tax capture revenues is canceled.

(29) As used in this section:

(a) "Qualified cultural institution" means a nonprofit cultural institution that provides educational programming and outdoor conservation initiatives available to the general public.

(b) "Qualified cultural institution project" means a project by a qualified cultural institution that meets both of the following requirements:

(i) The capital investment in the project will be more than \$400,000,000.00.

(ii) The project is estimated to attract more than 750,000 visitors per year.

Sec. 16. (1) The municipal and county treasurers shall transmit tax increment revenues to the authority not ~~more~~-later than 30 days after tax increment revenues are collected.

(2) The authority shall expend the tax increment revenues received only in accordance with the brownfield plan. All surplus funds not deposited in the local brownfield revolving fund of the authority under section 8 must revert proportionately to the respective taxing bodies, except as provided in section 15(16).

(3) The authority shall submit annually to the governing body, the department, the Michigan state housing development authority,



1 and the Michigan strategic fund a financial report on the status of
2 the activities of the authority for each calendar year. The report
3 must include all of the following:

4 (a) The total amount of local taxes that are approved for
5 capture and the total amount of taxes levied for school operating
6 purposes that are approved for capture for each parcel included in
7 a brownfield plan.

8 (b) The amount and purpose of expenditures of tax increment
9 revenues.

10 (c) The amount and source of tax increment revenues received
11 for each active brownfield plan **that is not a transformational**
12 **brownfield plan**, including the amount of tax increment revenues
13 captured in the most recent tax year and the cumulative amount of
14 tax increment revenues captured for each brownfield plan **that is**
15 **not a transformational brownfield plan, and the amount and source**
16 **of tax increment revenues, construction period tax capture**
17 **revenues, withholding tax capture revenues, income tax capture**
18 **revenues, and sales and use tax capture revenues received for each**
19 **active brownfield plan that is a transformational brownfield plan,**
20 **including the amount of tax increment revenues, construction period**
21 **tax capture revenues, withholding tax capture revenues, income tax**
22 **capture revenues, and sales and use tax capture revenues captured**
23 **in the most recent tax year and the cumulative amount of tax**
24 **increment revenues, construction period tax capture revenues,**
25 **withholding tax capture revenues, income tax capture revenues, and**
26 **sales and use tax capture revenues captured for each brownfield**
27 **plan that is a transformational brownfield plan.**

28 (d) The initial taxable value of all eligible property subject
29 to the brownfield plan.



1 (e) The captured taxable value realized by the authority for
2 each eligible property subject to the brownfield plan.

3 (f) The amount of actual capital investment made for each
4 project.

5 (g) The amount of tax increment revenues attributable to taxes
6 levied for school operating purposes used for activities described
7 in section 13b(6)(c), section 2(o)(i)(F) and (G), and section
8 2(o)(iii)(B) and (C).

9 (h) The number of residential units constructed or
10 rehabilitated for each project.

11 (i) The amount, by square foot, of new or rehabilitated
12 residential, retail, commercial, or industrial space for each
13 project.

14 (j) The number of new jobs created at the project.

15 (k) A copy of all brownfield plan amendments approved by the
16 local governmental unit.

17 (l) All additional information that the governing body, the
18 department, or the Michigan strategic fund considers necessary.

19 ~~(4) The department, the Michigan state housing development~~
20 ~~authority, and the Michigan strategic fund shall collect the~~
21 ~~financial reports submitted under subsection (3), compile a~~
22 ~~combined report that includes the use of local taxes, taxes levied~~
23 ~~for school operating purposes, and the state brownfield~~
24 ~~redevelopment fund, based on the information contained in those~~
25 ~~reports and any additional information considered necessary, and~~
26 ~~submit annually a report based on that information to each member~~
27 ~~of the legislature. Not later than April 1, 2026, the Michigan~~
28 **strategic fund shall create a searchable database of all brownfield**
29 **plans approved under this act. The Michigan strategic fund shall**



1 compile the information in the financial reports submitted under
 2 subsection (3) into the database. The database must be available to
 3 the public on the website of the Michigan strategic fund or the
 4 Michigan economic development corporation. At a minimum, the
 5 database must be searchable by location, project name, and the name
 6 of the owner or developer of the project. The Michigan strategic
 7 fund does not have to include information regarding brownfield
 8 plans that expire, or are abolished or terminated, before April 1,
 9 2026 in the database. However, information regarding brownfield
 10 plans that expire, or are abolished or terminated, on or after
 11 April 1, 2026 must be retained in the database. The department and
 12 the Michigan state housing development authority shall cooperate
 13 with the Michigan strategic fund as necessary for the creation and
 14 maintenance of the database under this subsection.

15 ~~(5) Beginning on January 1, 2013, The Michigan strategic fund~~
 16 **shall, on a quarterly basis, update the database described in**
 17 **subsection (4) with all of the following** ~~reporting obligations~~
 18 ~~apply:~~**information:**

19 ~~(a) The department shall on a quarterly basis post on its~~
 20 ~~website the name, location, and amount of tax increment revenues,~~
 21 including taxes levied for school operating purposes, for each
 22 project approved by the department under this act during the
 23 immediately preceding quarter, **the information must be provided by**
 24 **the department to the Michigan strategic fund.**

25 ~~(b) The Michigan strategic fund shall on a quarterly basis~~
 26 ~~post on its website the name, location, and amount of tax increment~~
 27 revenues, including taxes levied for school operating purposes, for
 28 each project approved by the Michigan strategic fund under this act
 29 during the immediately preceding quarter.



(c) ~~The Michigan state housing development authority shall on a quarterly basis post on its website the name, location, and amount of tax increment revenues, including taxes levied for school operating purposes, for each project approved by the Michigan state housing development authority under this act during the immediately preceding quarter,~~ **the information must be provided by the Michigan state housing development authority to the Michigan strategic fund.**

(6) In addition to any other requirements under this act, not less than once every 3 years, ~~beginning not later than June 30, 2008,~~ the auditor general shall conduct and report a performance postaudit on the effectiveness of the program established under this act. As part of the performance postaudit, the auditor general shall assess the extent to which the implementation of the program by the department, the Michigan state housing development authority, and the Michigan strategic fund facilitate and affect the redevelopment or reuse of eligible property and identify any factors that inhibit the program's effectiveness. The performance postaudit must also assess the extent to which the interpretation of statutory language, the development of guidance or administrative rules, and the implementation of the program by the department, the Michigan state housing development authority, and the Michigan strategic fund is consistent with the fundamental objective of facilitating and supporting timely and efficient brownfield redevelopment of eligible properties. **If the performance postaudit indicates that brownfield plans under the program are not meeting expectations, the Michigan strategic fund must review the brownfield plans and determine whether an action described in section 14a(8) should be taken.**

(7) The owner or developer for an active project included



1 within a brownfield plan must annually submit to the authority a
2 report on the status of the project. The report must be in a form
3 developed by the authority and must contain information necessary
4 for the authority to report under subsection (3)(f), (h), (i), (j),
5 and (k). The authority may waive the requirement to submit a report
6 under this subsection. As used in this subsection, "active project"
7 means a project for which the authority is currently capturing
8 taxes under this act.

9 (8) For a transformational brownfield plan, all of the
10 following also apply:

11 (a) The state treasurer shall transfer to the state brownfield
12 redevelopment fund each fiscal year an amount equal to the
13 construction period tax capture revenues, withholding tax capture
14 revenues, income tax capture revenues, and sales and use tax
15 capture revenues under all approved plans as provided for in
16 section 8a(4). Funds must be transmitted to the authority, or owner
17 or developer of the eligible property to which the revenues are
18 attributable, not later than 30 days after transfer to the state
19 brownfield redevelopment fund.

20 (b) The authority, the department, and the Michigan strategic
21 fund shall follow the reporting **and database** requirements of
22 subsections (3), (4), and (5) with respect to all approved
23 transformational brownfield plans, and shall provide information on
24 the amount and use of construction period tax capture revenues,
25 withholding tax capture revenues, income tax capture revenues, and
26 sales and use tax capture revenues to the same extent required for
27 tax increment revenues.

28 (c) The owner or developer of active projects included within
29 a transformational brownfield plan shall provide the information



1 required for the authority, the department, and the Michigan
2 strategic fund to satisfy the reporting, **database**, and audit
3 requirements of this section.

4 (9) If activities of the authority include housing development
5 activities, the report under subsection (3) must also include all
6 of the following:

7 (a) The number of housing units produced.

8 (b) The number of income qualified purchaser households
9 served.

10 (c) The number of income qualified renting households
11 assisted.

12 (d) For the initial reporting period, the prices at which the
13 housing units were sold or rented.

14 (e) Racial and socioeconomic data on the individuals
15 purchasing or renting the housing units, or, if this data is not
16 available, racial and socioeconomic data on the census tract in
17 which the housing units are located.

18 (10) As used in this section, "Michigan economic development
19 corporation" means that term as defined in section 4 of the
20 Michigan strategic fund act, 1984 PA 270, MCL 125.2004.

21 Sec. 16a. (1) In addition to any other requirements under this
22 act, a dedicated webpage for the transformational brownfield
23 program must be made available to the public on the website of the
24 Michigan strategic fund or the Michigan economic development
25 corporation.

26 (2) The transformational brownfield program webpage must
27 include all of the following information:

28 (a) Notice of a meeting of the Michigan strategic fund board
29 that will consider approval of a transformational brownfield plan



1 or an amendment to a transformational brownfield plan.

2 (b) For each meeting described in subdivision (a), all of the
3 following information, as applicable, which must be made available
4 before the meeting occurs:

5 (i) Documents, reports, and other information distributed in
6 the board packet to the members of the Michigan strategic fund
7 board related to the approval of the transformational brownfield
8 plan or an amendment to the transformational brownfield plan.

9 (ii) If the approval is for an amendment to a transformational
10 brownfield plan, a summary of the amendment and the date of the
11 amendment.

12 (c) Any other documents prepared or received by the Michigan
13 strategic fund in connection with the approval of transformational
14 brownfield plans or amendments to transformational brownfield
15 plans, including, but not limited to, all of the following:

16 (i) The financial and underwriting analyses conducted by the
17 Michigan strategic fund under section 14a(5).

18 (ii) Independent, third-party analyses received by the Michigan
19 strategic fund under section 14a(6).

20 (iii) Any other economic and fiscal impact analyses prepared or
21 received by the Michigan strategic fund.

22 (d) Audit reports prepared or received by the Michigan
23 strategic fund with respect to transformational brownfield plans,
24 including but not limited to the postaudit report described in
25 section 16(6).

26 (e) Recordings of meetings under section 16b.

27 (f) For each project under a transformational brownfield plan
28 approved after the effective date of the amendatory act that added
29 this section, a list of the annual project milestones that must be



1 met and the status of each milestone. If the deadline for a
2 milestone has passed, the status must include whether the milestone
3 was met, not met, or adjusted. The information described in this
4 subdivision must be updated not less than annually.

5 (g) For each calendar year that ends on or after the effective
6 date of the amendatory act that added this section, a list of each
7 project under a transformational brownfield plan that received
8 transformational brownfield sales and use tax exemptions or state
9 tax revenues and, for each project listed, the total capital
10 investment in the project as of the last day of the calendar year,
11 the amount of transformational brownfield sales and use tax
12 exemptions received during the calendar year, and the amount of
13 state tax revenues received during the calendar year, broken down
14 by construction period tax capture revenues, income tax capture
15 revenues, sales and use tax capture revenues, and withholding tax
16 capture revenues. Information under this subdivision for a calendar
17 year must be posted on the webpage by the April 1 immediately
18 following the end of the calendar year.

19 (h) For each calendar year that ends on or after the effective
20 date of the amendatory act that added this section, all of the
21 following information regarding the limit on the commitment or
22 disbursement of total annual tax capture under section 14a(19), the
23 information must be updated on a rolling basis, but not less than
24 quarterly:

25 (i) The amount of the limit on the commitment and disbursement
26 of total annual tax capture under section 14a(19), broken down as
27 described in section 14a(19).

28 (ii) The amounts that have been committed and disbursed to
29 date, broken down as described in section 14a(19) and further



1 broken down by income tax capture revenues, sales and use tax
2 capture revenues, and withholding tax capture revenues.

3 (iii) The remaining amount available for commitment or
4 disbursement under section 14a(19).

5 (i) All of the following information regarding the limit on
6 the total amount of income tax capture revenues, withholding tax
7 capture revenues, and sales and use tax capture revenues that may
8 be committed or disbursed under section 14a(20), the information
9 must be updated on a rolling basis, but not less than quarterly:

10 (i) The amount of the limit on the total amount of income tax
11 capture revenues, withholding tax capture revenues, and sales and
12 use tax capture revenues that may be committed or disbursed under
13 section 14a(20).

14 (ii) The total amount of income tax capture revenues,
15 withholding tax capture revenues, and sales and use tax capture
16 revenues that have been committed or disbursed to date, broken down
17 by income tax capture revenues, withholding tax capture revenues,
18 and sales and use tax capture revenues.

19 (iii) The remaining amount available to be committed or
20 disbursed under section 14a(20).

21 (j) All of the following information regarding the limit on
22 the approval of construction period tax capture revenues and
23 transformational brownfield sales and use tax exemptions under
24 section 14a(21), which information must be updated on a rolling
25 basis, but not less than quarterly:

26 (i) The amount of the limit on construction period tax capture
27 revenues and transformational brownfield sales and use tax
28 exemptions under section 14a(21).

29 (ii) The total amount of construction period tax capture



1 revenues and, unless excluded in determining whether the limit has
2 been met under section 14a(21), transformational brownfield sales
3 and use tax exemptions that have been approved to date, broken down
4 by construction period tax capture revenues and transformational
5 brownfield sales and use tax exemptions.

6 (iii) The remaining amount available for approval under section
7 14a(21) .

8 (k) A record of the total amount of tax revenues that have
9 been paid each year under the transformational brownfield program
10 since the enactment of the program, broken down by project name and
11 further broken down by construction period tax capture revenues,
12 income tax capture revenues, sales and use tax capture revenues,
13 tax increment revenues, and withholding tax capture revenues. Tax
14 increment revenues must be further broken down by local taxes and
15 taxes levied for school operating purposes.

16 (l) A projected schedule of annual distributions of tax
17 revenues in future years, broken down by construction period tax
18 capture revenues, income tax capture revenues, sales and use tax
19 capture revenues, tax increment revenues, and withholding tax
20 capture revenues. Tax increment revenues must be further broken
21 down by local taxes and taxes levied for school operating purposes.

22 (m) A record of the total amount of transformational
23 brownfield sales and use tax exemptions that have been paid each
24 year under the transformational brownfield program since the
25 enactment of the program, broken down by project name.

26 (n) A projected schedule of annual transformational brownfield
27 sales and use tax exemptions that will be provided in future years.

28 (3) For purposes of this section, a document is considered
29 prepared or received by the Michigan strategic fund if the document



1 is prepared or received by the Michigan strategic fund or an
 2 authorized officer, employee, or agent of the Michigan strategic
 3 fund, including the Michigan economic development corporation or an
 4 employee of the Michigan economic development corporation.

5 (4) As used in this section:

6 (a) "Michigan economic development corporation" means that
 7 term as defined in section 4 of the Michigan strategic fund act,
 8 1984 PA 270, MCL 125.2004.

9 (b) "Michigan strategic fund board" means the board of
 10 directors of the Michigan strategic fund under section 5 of the
 11 Michigan strategic fund act, 1984 PA 270, MCL 125.2005.

12 (c) "State tax revenues" means construction period tax capture
 13 revenues, income tax capture revenues, sales and use tax capture
 14 revenues, and withholding tax capture revenues.

15 (d) "Tax revenues" means state tax revenues and tax increment
 16 revenues.

17 (e) "Total annual tax capture" means that term as defined in
 18 section 14a(19).

19 (f) "Transformational brownfield program" means the program
 20 under this act pursuant to which transformational brownfield plans
 21 may be approved and implemented.

22 (g) "Transformational brownfield program webpage" means the
 23 webpage for the transformational brownfield program required under
 24 subsection (1).

25 (h) "Transformational brownfield sales and use tax exemptions"
 26 means the sales and use tax exemptions under section 4d(n) of the
 27 general sales tax act, 1933 PA 167, MCL 205.54d, and section 4dd of
 28 the use tax act, 1937 PA 94, MCL 205.94dd.

29 Sec. 16b. (1) A meeting of the Michigan strategic fund board



1 that will consider approval of a transformational brownfield plan
2 or an amendment to a transformational brownfield plan must be
3 livestreamed and recorded.

4 (2) As used in this section, "Michigan strategic fund board"
5 means the board of directors of the Michigan strategic fund under
6 section 5 of the Michigan strategic fund act, 1984 PA 270, MCL
7 125.2005.

8 Sec. 16c. Notwithstanding anything to the contrary in this
9 act, if an owner or developer of eligible property under a
10 brownfield plan is a publicly traded entity, the owner or developer
11 shall not undertake a stock buyback during the period the owner or
12 developer is capturing tax increment revenues, construction period
13 tax capture revenues, withholding tax capture revenues, income tax
14 capture revenues, or sales and use tax capture revenues. As used in
15 this section, "stock buyback" means the acquisition by an entity of
16 its own issued and outstanding shares, whether by purchase,
17 exchange, or other lawful means, that results in the shares being
18 retired, canceled, or held as treasury shares.